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ECO402 final Term Papers By Axxad

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- 1) why does a perfectly competitive firm face horizontal demand curve? (3)
- 2) A monopolistic firm uses productive resources of society in order to gain and maintain the monopoly power. By how many ways, a monopolist will gain the monopoly power? (3)
- 3) Explain the dominant firm model of obligopolistic market.(3)
- 4) What will be the firm's decision regarding spending on advertisement of its product if advertising elasticity of demand is large for this firm?(3)

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5) Suppose Pakistan's leather industry is constant cost industry. Products of this industry have come in fashion these days. Explain how this change is affecting the demand, supply and output of the mentioned industry.(5)

6) Explain intertemporal price discrimination and peak load pricing with example.(5)

7) Explain the concept of economic rent for a competitive factor market. what will be the value of economic rent if the supply of labor is perfectly elastic.(5)